

## Fujifilm Holdings (4901)

**Upgrade to Buy: Bio CDMO reset, BI cost cuts to drive re-rating**

Rating Change: BUY | PO: 4,000 JPY | Price: 3,319 JPY

**Upgrade to Buy, maintain ¥4,000 PO**

We upgrade our investment rating to Buy, based on three factors: (1) attractive valuations, (2) the likelihood that the 2Q update will clear the Bio CDMO overhang, and (3) expectations for cost reductions with the separation of BI. We offset our Bio CDMO earnings forecast cut with hikes to BI and Electronics, resulting in modest increases of up to 2% to our operating profit forecasts through FY3/31. Although we lower the valuation factor applied to Bio CDMO in our SOTP from 85% to 80%, we maintain our PO at ¥4,000. The current share price implies 7.5x FY3/28 EV/EBITDA and 0.92x PBR, which appears inexpensive against our forecast five-year operating profit CAGR of 12%.

**Focus on Bio CDMO outlook updates & BI cost reductions**

We forecast a ¥26.7bn operating loss for Bio CDMO in FY3/28, likely broadly in line with market expectations. We view the 2Q outlook update as a potential clearing event for the current overhang. A disposal of unprofitable facilities could provide additional upside. In BI, the announced spin-off and listing should accelerate further integration and cost reductions. We believe the benefits of these cost reductions are underappreciated and forecast FY3/28 operating profit of ¥67.9bn, exceeding consensus by 17%.

**FY3/28 OP forecast exceeds consensus by 4%**

We forecast FY3/27 operating profit of ¥372.8bn, broadly in line with consensus. We expect the company to achieve its ¥365.0bn guidance, supported partly by disposals of idle assets. For FY3/28, we forecast operating profit of ¥434.3bn, up 17% YoY and exceeding consensus by 4%, mainly driven by upside in BI.

| Estimates (¥)                 | 3/25A   | 3/26A   | 3/27E   | 3/28E   | 3/29E   |
|-------------------------------|---------|---------|---------|---------|---------|
|                               | US GAAP | US GAAP | US GAAP | US GAAP | US GAAP |
| EPS                           | 218.92  | 230.65  | 235.99  | 274.09  | 316.43  |
| EPS Change (YoY)              | 8.5%    | 5.4%    | 2.3%    | 16.1%   | 15.4%   |
| Consensus EPS (Visible Alpha) |         |         | 236.98  | 269.66  | 309.26  |
| Dividend / Share              | 66      | 70      | 75      | 95      | 110     |
| BPS                           | 2,778.1 | 3,185.5 | 3,351.4 | 3,551.4 | 3,773.1 |
| <b>Valuation</b>              |         |         |         |         |         |
| P/E                           | 15.2x   | 14.4x   | 14.1x   | 12.1x   | 10.5x   |
| Dividend Yield*               | 2.0%    | 2.1%    | 2.2%    | 2.9%    | 3.3%    |
| P/B                           | 1.2x    | 1.0x    | 1.0x    | 0.9x    | 0.9x    |
| EV/ EBITDA*                   | 10.5x   | 9.9x    | 9.1x    | 8.1x    | 7.3x    |
| Free Cash Flow Yield*         | -3.3%   | -4.1%   | -1.2%   | 3.0%    | 4.6%    |

\* For full definitions of *IQmethod*<sup>SM</sup> measures, see page 17.

28 August 2026

## Equity

**Key Changes**

| (¥)              | Previous    | Current     |
|------------------|-------------|-------------|
| Inv. Opinion     | B-2-7       | B-1-7       |
| Inv. Rating      | NEUTRAL     | BUY         |
| 2027E Rev (m)    | 3,497,490.0 | 3,568,080.0 |
| 2028E Rev (m)    | 3,648,990.0 | 3,732,150.0 |
| 2029E Rev (m)    | 3,844,410.0 | 3,963,690.0 |
| 2027E EPS        | 244.79      | 235.99      |
| 2028E EPS        | 285.88      | 274.09      |
| 2029E EPS        | 324.98      | 316.43      |
| 2027E EBITDA (m) | 565,500.0   | 566,200.0   |
| 2028E EBITDA (m) | 638,300.0   | 637,800.0   |
| 2029E EBITDA (m) | 704,400.0   | 711,400.0   |
| 2027E DPS        | 75.00       | 74.52       |

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**Stock Data**

|                             |                           |
|-----------------------------|---------------------------|
| Price (Common / ADR)        | 3,319 JPY / 10.29 USD     |
| Price Objective             | 4,000 JPY / 12.90 USD     |
| Date Established            | 31-Jul-2026 / 31-Jul-2026 |
| Investment Opinion          | B-1-7 / B-1-7             |
| 52-Week Range               | 2,855-3,908 JPY           |
| Market Value (mn)           | 4,096,145 JPY             |
| Market Value (\$mn)         | 25,710 USD                |
| Shares Outstanding (mn)     | 1,234.2                   |
| Average Daily Value (\$mn)  | 120.3 USD                 |
| Free Float                  | 94.2%                     |
| BofA Ticker / Exchange      | FUJIF / TYO               |
| BofA Ticker / Exchange      | FUJIY / OTU               |
| Bloomberg / Reuters         | 4901 JP / 4901.T          |
| ROE (2027E)                 | 7.2%                      |
| Net Dbt to Eqty (Mar-2026A) | 18.8%                     |

BI: Business Innovation

CDMO: Contract Development &amp; Manufacturing Organization

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**Refer to important disclosures on page 18 to 21. Analyst Certification on page 15. Price Objective Basis/Risk on page 15.**

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# iQprofile<sup>SM</sup> Fujifilm Holdings (4901)

| Key Income Statement Data            | 3/25A            | 3/26A            | 3/27E            | 3/28E            | 3/29E            |
|--------------------------------------|------------------|------------------|------------------|------------------|------------------|
| (¥ Millions)                         | US GAAP          | US GAAP          | US GAAP          | US GAAP          | US GAAP          |
| <b>Sales</b>                         | <b>3,195,828</b> | <b>3,356,969</b> | <b>3,568,080</b> | <b>3,732,150</b> | <b>3,963,690</b> |
| % Change                             | 7.9%             | 5.0%             | 6.3%             | 4.6%             | 6.2%             |
| Gross Profit                         | 1,300,079        | 1,369,512        | 1,443,200        | 1,553,900        | 1,691,700        |
| EBITDA                               | 493,722          | 522,581          | 566,200          | 637,800          | 711,400          |
| <b>Operating Profit</b>              | <b>330,155</b>   | <b>350,210</b>   | <b>372,800</b>   | <b>434,300</b>   | <b>502,600</b>   |
| % Change                             | 19.3%            | 6.1%             | 6.5%             | 16.5%            | 15.7%            |
| Net Interest & Other Income          | 4,628            | 6,229            | 4,000            | 4,600            | 5,200            |
| <b>Pretax Income (ex extraords.)</b> | <b>340,594</b>   | <b>366,629</b>   | <b>380,800</b>   | <b>442,900</b>   | <b>511,800</b>   |
| % Change                             | 7.3%             | 7.6%             | 3.9%             | 16.3%            | 15.6%            |
| <b>Net Income</b>                    | <b>263,727</b>   | <b>277,859</b>   | <b>284,300</b>   | <b>330,200</b>   | <b>381,200</b>   |

| Key Cash Flow Statement Data           |                  |                  |                 |                |                |
|----------------------------------------|------------------|------------------|-----------------|----------------|----------------|
| Net Income from Cont Operations (GAAP) | 263,727          | 277,859          | 284,300         | 330,200        | 381,200        |
| Depreciation & Amortization            | 163,567          | 172,371          | 193,400         | 203,500        | 208,800        |
| Change in Working Capital              | 12,596           | (47,677)         | 22,700          | 44,900         | 32,300         |
| Capital Expenditure                    | (561,878)        | (576,679)        | (557,600)       | (464,000)      | (441,800)      |
| <b>Free Cash Flow*</b>                 | <b>(133,716)</b> | <b>(166,124)</b> | <b>(48,074)</b> | <b>123,726</b> | <b>189,626</b> |
| Share Issue / (Repurchase)             | (16)             | (12)             | (30,000)        | 0              | 0              |
| Cost of Dividends Paid                 | (68,252)         | (84,354)         | (84,400)        | (89,100)       | (114,000)      |

| Key Balance Sheet Data                |                  |                  |                  |                  |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|------------------|
| Cash & Equivalents                    | 172,111          | 170,553          | 152,400          | 231,300          | 245,200          |
| Trade Receivables                     | 699,986          | 762,515          | 769,900          | 765,000          | 771,800          |
| Other Current Assets                  | 709,584          | 785,965          | 800,900          | 790,600          | 791,100          |
| Property, Plant & Equipment           | 1,786,475        | 2,308,308        | 2,642,300        | 2,873,900        | 3,078,700        |
| Other Non-Current Assets              | 1,881,752        | 2,026,435        | 2,054,700        | 2,052,400        | 2,050,200        |
| <b>Total Assets</b>                   | <b>5,249,908</b> | <b>6,053,776</b> | <b>6,420,200</b> | <b>6,713,200</b> | <b>6,937,000</b> |
| Short-Term Debt                       | 215,103          | 287,913          | 287,900          | 287,900          | 287,900          |
| Other Current Liabilities             | 910,837          | 970,359          | 1,027,200        | 1,069,100        | 1,121,300        |
| Long-Term Debt                        | 470,805          | 607,034          | 707,000          | 707,000          | 601,000          |
| Other Non-Current Liabilities         | 300,481          | 344,085          | 354,400          | 365,000          | 376,000          |
| <b>Total Liabilities</b>              | <b>1,897,226</b> | <b>2,209,391</b> | <b>2,376,500</b> | <b>2,429,000</b> | <b>2,386,200</b> |
| <b>Total Equity</b>                   | <b>3,352,682</b> | <b>3,844,385</b> | <b>4,043,700</b> | <b>4,284,200</b> | <b>4,550,800</b> |
| <b>Total Equity &amp; Liabilities</b> | <b>5,249,908</b> | <b>6,053,776</b> | <b>6,420,200</b> | <b>6,713,200</b> | <b>6,937,000</b> |

## Key Metrics

### iQmethod<sup>SM</sup> – Business Performance\*

|                            |       |       |       |       |       |
|----------------------------|-------|-------|-------|-------|-------|
| Return On Capital Employed | 6.4%  | 5.8%  | 5.5%  | 6.1%  | 6.8%  |
| Return On Equity           | 8.1%  | 7.7%  | 7.2%  | 7.9%  | 8.6%  |
| Operating Margin           | 10.3% | 10.4% | 10.4% | 11.6% | 12.7% |

### iQmethod<sup>SM</sup> – Quality of Earnings\*

|                          |       |       |       |       |       |
|--------------------------|-------|-------|-------|-------|-------|
| Cash Realization Ratio   | 1.6x  | 1.5x  | 1.8x  | 1.8x  | 1.7x  |
| Asset Replacement Ratio  | 3.4x  | 3.3x  | 2.9x  | 2.3x  | 2.1x  |
| Tax Rate (Reported)      | 22.8% | 24.9% | 26.0% | 26.0% | 26.0% |
| Net Debt-to-Equity Ratio | 15.3% | 18.8% | 20.8% | 17.8% | 14.1% |
| Interest Cover           | 37.7x | 70.1x | 23.3x | 27.1x | 31.4x |

\* For full definitions of iQmethod<sup>SM</sup> measures, see page 17.  
Other GAAP denotes Japanese Accounting Standards.

## Company Sector

Medical Technology

## Company Description

Founded in 1934 as a spin-off of Dainippon Celluloid's photographic business, the company is a specialty chemicals manufacturer. As the film market contracted, it diversified into four businesses: Healthcare, Electronics, Business Innovation, and Imaging. Healthcare covers medical devices, pharmaceuticals, and bio CDMO. Electronics sells semiconductor materials. Business Innovation sells multifunction printers, while Imaging offers instax and mirrorless cameras.

## Investment Rationale

Our Buy rating is premised on three points: (1) valuations remain compelling against a 12% operating profit CAGR over the next five years, (2) our view that the market has already priced in near-term earnings risks in Bio CDMO, setting the stage for the overhang to clear, and (3) that the market continues to underestimate the cost-reduction potential at Business Innovation.

## Key Changes

| (US\$)       | Previous | Current |
|--------------|----------|---------|
| Inv. Opinion | B-2-7    | B-1-7   |
| Inv. Rating  | NEUTRAL  | BUY     |
| 2027E EPS    | 0.77     | 0.74    |
| 2028E EPS    | 0.90     | 0.86    |
| 2029E EPS    | 1.02     | 0.99    |
| 2027E DPS    | 0.24     | 0.23    |



## Maintain ¥4,000 PO; upgrade to Buy

We raise our investment rating from Neutral to Buy. Our thesis rests on three key points: (1) valuations have likely bottomed, (2) near-term downside risk to Bio CDMO earnings appears priced in, and the next outlook update could clear the remaining overhang, and (3) the separate listing of Business Innovation raised the likelihood of cost cut.

The deterioration in the Bio CDMO outlook was a negative surprise in 1Q, making Fujifilm the only stock in our Medtech coverage to suffer a sharp share price decline despite generally solid results across the sector. While we remain cautious on Bio CDMO's medium- to long-term fundamentals, we believe the market has largely priced in the near-term earnings risk and that the 2Q outlook update could provide an opportunity to clear the remaining overhang. In addition, we expect a re-rating as confidence increases in improving profitability at Business Innovation and continued strength in Electronics.

We offset our Healthcare earnings downgrade with upgrades to Electronics and Business Innovation, resulting in increases of up to 2% to our operating profit forecasts through FY3/31. Meanwhile, given the uncertainty created by the outlook downgrade in 1Q, we lower the valuation factor applied to Bio CDMO in our SOTP from 85% to 80%. As a result, we maintain our PO at ¥4,000, equivalent to 8.7x FY3/28 EV/EBITDA and 1.12x PBR.

Our ¥4,000 PO implies 22% upside from the current share price. The current share price, equivalent to 7.5x FY3/28 EV/EBITDA and 0.92x PBR, appears inexpensive relative to our forecast five-year operating profit CAGR of 12%. Over the 12-month investment horizon for our PO, we expect a valuation recovery in Healthcare as uncertainty surrounding Bio CDMO recedes and in Business Innovation as structural reforms improve profitability. We therefore believe an upgrade to Buy is warranted. Electronics also remains strong and could offer additional valuation upside, depending on semiconductor market sentiment.

### Exhibit 1: Despite one-off factors, we expect 6% OP growth in FY3/27

Fujifilm Holdings (4901): Consolidated earnings summary

|                             |                | Sales            | YoY        | vs.       | OP             | YoY         | vs.       | Adj. EBITDA    | YoY         | NP             | YoY         | EPS          | P/E         | EV/EBITDA  |
|-----------------------------|----------------|------------------|------------|-----------|----------------|-------------|-----------|----------------|-------------|----------------|-------------|--------------|-------------|------------|
|                             |                | ¥ mn             | %          | Cons.     | ¥ mn           | %           | Cons.     | ¥ mn           | %           | ¥ mn           | %           | ¥            | times       | times      |
| FY3/25                      | US-GAAP        | 3,195,828        | 11.8       |           | 330,155        | 20.9        |           | 493,722        | 18.9        | 263,727        | 20.2        | 218.9        |             |            |
| FY3/26                      | US-GAAP        | 3,356,969        | 5.0        |           | 350,210        | 6.1         |           | 522,581        | 5.8         | 277,859        | 5.4         | 230.7        |             |            |
| <b>FY3/27 Co. guidance</b>  |                | <b>3,560,000</b> | <b>6.0</b> |           | <b>365,000</b> | <b>4.2</b>  |           | <b>575,000</b> | <b>10.0</b> | <b>280,000</b> | <b>0.8</b>  | <b>234.2</b> | <b>14.1</b> | <b>8.3</b> |
| <b>FY3/27 BofA estimate</b> | <b>Revised</b> | <b>3,568,080</b> | <b>6.3</b> | <b>1%</b> | <b>372,800</b> | <b>6.5</b>  | <b>1%</b> | <b>566,200</b> | <b>8.3</b>  | <b>284,300</b> | <b>2.3</b>  | <b>236.0</b> | <b>14.0</b> | <b>8.5</b> |
|                             | Previous       | 3,497,490        | 4.2        |           | 367,900        | 5.1         |           | 565,500        | 8.2         | 294,900        | 6.1         | 244.8        | 13.5        | 8.5        |
| VA consensus                |                | 3,544,474        | 5.6        |           | 368,815        | 5.3         |           | n.a.           |             | 286,970        | 3.3         | 240.0        | 13.7        | n.a.       |
| <b>FY3/28 BofA estimate</b> | <b>Revised</b> | <b>3,732,150</b> | <b>4.6</b> | <b>0%</b> | <b>434,300</b> | <b>16.5</b> | <b>4%</b> | <b>637,800</b> | <b>12.6</b> | <b>330,200</b> | <b>16.1</b> | <b>274.1</b> | <b>12.0</b> | <b>7.5</b> |
|                             | Previous       | 3,648,990        | 4.3        |           | 432,800        | 17.6        |           | 638,300        | 12.9        | 344,400        | 16.8        | 285.9        | 11.5        | 7.5        |
| VA consensus                |                | 3,723,651        | 5.1        |           | 417,759        | 13.3        |           | n.a.           | n.a.        | 323,540        | 12.7        | 270.6        | 12.2        | n.a.       |
| <b>FY3/29 BofA estimate</b> | <b>Revised</b> | <b>3,963,690</b> | <b>6.2</b> | <b>1%</b> | <b>502,600</b> | <b>15.7</b> | <b>4%</b> | <b>711,400</b> | <b>11.5</b> | <b>381,200</b> | <b>15.4</b> | <b>316.4</b> | <b>10.4</b> | <b>6.7</b> |
|                             | Previous       | 3,844,410        | 5.4        |           | 494,300        | 14.2        |           | 704,400        | 10.4        | 391,500        | 13.7        | 325.0        | 10.1        | 6.8        |
| VA consensus                |                | 3,905,190        | 4.9        |           | 482,776        | 15.6        |           | n.a.           | n.a.        | 371,846        | 14.9        | 311.0        | 10.6        | n.a.       |
| <b>FY3/30 BofA estimate</b> | <b>Revised</b> | <b>4,181,510</b> | <b>5.5</b> |           | <b>562,300</b> | <b>11.9</b> |           | <b>775,400</b> | <b>9.0</b>  | <b>425,900</b> | <b>11.7</b> | <b>353.5</b> | <b>9.3</b>  | <b>6.2</b> |
|                             | Previous       | 4,060,250        | 5.6        |           | 554,400        | 12.2        |           | 768,100        | n.a.        | 437,400        | 11.7        | 363.1        | 9.1         | 6.2        |
| <b>FY3/31 BofA estimate</b> | <b>Revised</b> | <b>4,381,720</b> | <b>4.8</b> |           | <b>620,300</b> | <b>10.3</b> |           | <b>837,900</b> | <b>8.1</b>  | <b>469,300</b> | <b>10.2</b> | <b>389.6</b> | <b>8.5</b>  | <b>5.7</b> |
|                             | Previous       | 4,250,670        | 4.7        |           | 610,100        | 10.0        |           | 827,800        | n.a.        | 480,100        | 9.8         | 398.5        | 8.3         | n.a.       |

Source: Company. BofA Global Research estimates. VA: Visible Alpha.

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**Exhibit 2: SOTP (Sum-of-the-parts) valuation based on FY3/28 EV/EBITDA**

Theoretical price on SOTP valuation (FY3/28E, JPY bn)

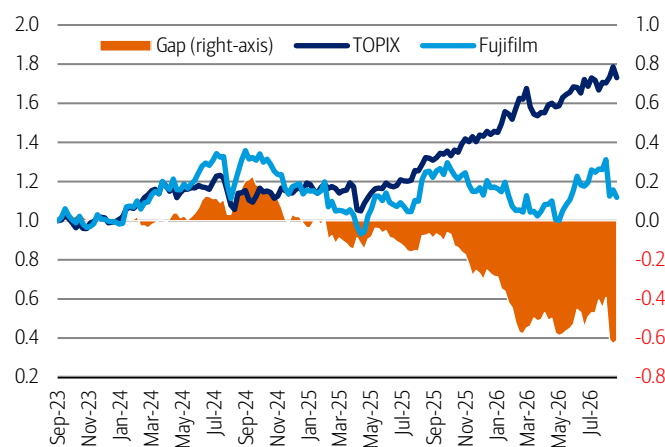
|                           | EBIT  | D&A  | EBITDA | EV/EBITDA | EV           | Referenced multiple(s)                                                       |
|---------------------------|-------|------|--------|-----------|--------------|------------------------------------------------------------------------------|
| Healthcare                |       |      |        |           |              |                                                                              |
| Bio CDMO                  | -26.7 | 68.0 | 41.3   | 14.6x     | 601.2        | Lonza 16.6x, Thermo Fisher 20.3x, Samsung Bio 20.8x, WuXi Bio 14.8x          |
| Medical system and other  | 118.5 | 33.1 | 151.6  | 9.6x      | 1,457.8      | Siemens Healthineers 11.5x, GE Healthcare 9.9x, Olympus 10.7x, Philips 8.4x, |
| Electronics               | 140.7 | 35.7 | 176.4  | 9.3x      | 1,647.5      | Tokyo Ohka 12.6x, Fujimi 11.4x, Shin-Etsu 9.7x, Zeon 7.8x                    |
| Business Innovation       | 67.9  | 43.1 | 111.0  | 6.5x      | 725.3        | HP 8.5x, Xerox 5.5x, Ricoh 6.2x, Konica Minolta 5.9x,                        |
| Imaging                   | 175.0 | 18.8 | 193.8  | 7.6x      | 1,467.8      | Nikon 10.6x, Canon 9.6x                                                      |
| Eliminations              | -41.1 | 4.8  | -36.3  | 8.1x      | -294         | 3-year avg.                                                                  |
| Total                     |       |      |        |           | 5,606        | (a)                                                                          |
| Net debt                  |       |      |        |           | 843          | (b)                                                                          |
| Non-controlling interests |       |      |        |           | 4            | (c)                                                                          |
| Shareholders' value       |       |      |        |           | 4,759        | (d) = (a) - (b) - (c)                                                        |
| Shares outstanding (mn)   |       |      |        |           | 1,205        | (e)                                                                          |
| Per share value (JPY)     |       |      |        |           | 3,950        | (f) = (d) / (e) * 1000                                                       |
| Price objective (JPY)     |       |      |        |           | <b>4,000</b> |                                                                              |

Source: BofA Global Research estimates

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**Exhibit 3: Fujifilm has underperformed recently**

Share price trend and performance vs TOPIX

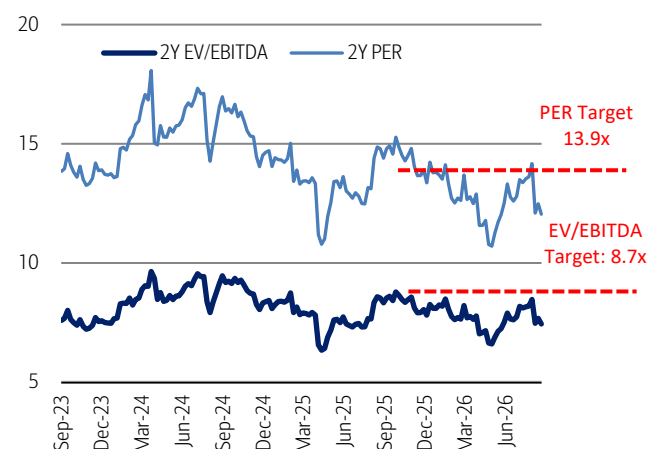


Source: Bloomberg, BofA Global Research

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**Exhibit 4: Conglomerate-driven stability in short-term earnings underpins the valuation**

2-year PER and EV/EBITDA on BBG consensus



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

**Earnings forecasts: FY3/28 OP to exceed consensus by 4%**

We forecast FY3/27 operating profit of ¥372.8bn, broadly in line with consensus. We expect the company to achieve its ¥365.0bn guidance, supported by disposals of idle assets and other factors. For FY3/28, we forecast operating profit of ¥434.3bn, up 17% YoY and exceeding consensus by 4%, mainly reflecting upside in BI as we factor in the benefits of cost reductions. Upside risks to our estimates include the disposal of unprofitable Bio CDMO facilities and a reacceleration in Imaging growth. Downside risks include an unexpected decline in Bio CDMO capacity utilization and a downturn in the semiconductor market.



## Valuation looks likely to have bottomed

We use an SOTP approach to value Fujifilm, a typical conglomerate. However, we believe 1.0x P/B has provided a degree of downside support during share price declines.

Although the stock traded below 1.0x for nearly two years during 2016–18, we believe 1.0x has served as a psychological floor since 2020, reflecting a structural improvement in ROE driven by the restructuring of Fuji Xerox and higher Imaging profitability through increased Instax sales and the premiumization of digital cameras.

Against this backdrop, we see limited downside from the current trailing P/B of 0.98x. The stock trades on a 0.92x P/B based on our FY3/28 forecasts, and 1.0x implies ¥3,550. Our ¥4,000 PO implies 1.12x FY3/28 P/B.

### Exhibit 5: P/B of 1x has been a share price floor since 2020

Historical trend in reported P/B ratio



Source: Bloomberg, BofA Global Research

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## Bio CDMO impairment risk appears limited

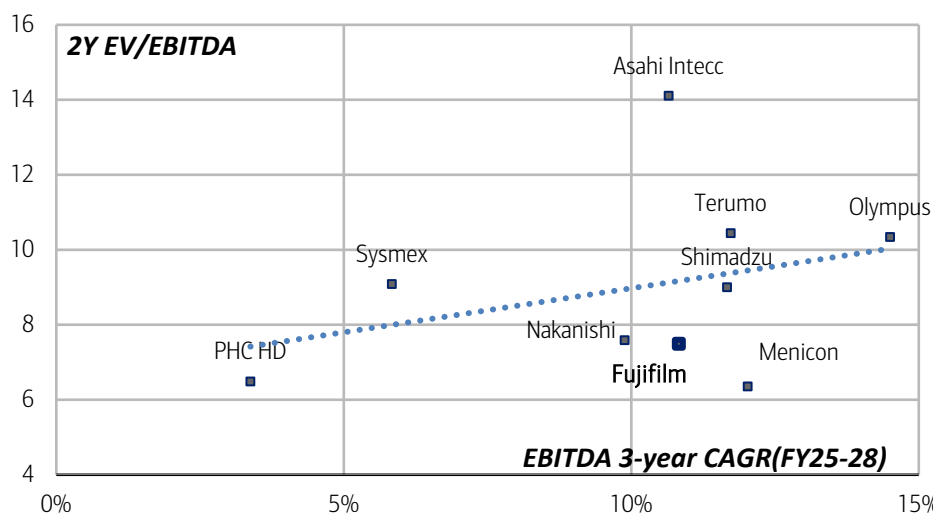
We estimate that Bio CDMO will have approximately ¥1.4tn of depreciable fixed assets at end-FY3/27. Assuming an impairment of 20-30%, a FY3/28 P/B of 1x would imply a share price of approximately ¥3,200-3,400. Even after factoring in an impairment, we believe downside risk to the share price would be limited. In addition, under US GAAP, which the company applies, the threshold for recognizing impairment of tangible fixed assets is higher than under IFRS, as the carrying amount is first compared with undiscounted future cash flows. We therefore see limited near-term impairment risk. In our discussions, the company expressed a similar view.

## Valuation appears attractive relative to growth

The valuation also appears inexpensive relative to earnings growth, with the stock trading at 7.5x two-year forward EV/EBITDA versus a three-year EBITDA CAGR of 11%. This is the second lowest valuation in our Medtech coverage after Menicon and the lowest among large-cap stocks.

**Exhibit 6: Valuation comparison in our Medtech coverage**

Fujifilm looks undervalued versus its growth potential



Source: Bloomberg, BofA Global Research

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**Exhibit 7: Fujifilm looks undervalued vs its growth potential**

Market cap, Share price performance and key valuation metrics for Japan and US/Europe majors

| Company Name      | Mkt-Cap<br>mn USD | FY end | Mkt | Stock Performance |     |      | PER    |        |        | EPS<br>CAGR* | EV/EBITDA |        |        | EBITDA<br>CAGR* | PBR    |        | ROE    | Yield  |
|-------------------|-------------------|--------|-----|-------------------|-----|------|--------|--------|--------|--------------|-----------|--------|--------|-----------------|--------|--------|--------|--------|
|                   |                   |        |     | 6M                | 3M  | 1M   | 26E    | 27E    | 28E    |              | 26E       | 27E    | 28E    |                 | 26E    | 26E    |        |        |
| 27 Aug 2026       |                   |        |     |                   |     |      | FY3/27 | FY3/28 | FY3/29 | FY25-28      | FY3/27    | FY3/28 | FY3/29 | FY25-28         | FY3/27 | FY3/27 | FY3/27 | FY3/27 |
| Japan             | 85,401            |        |     | 20%               | 17% | 11%  | 20.8   | 18.5   | 17.0   | 46%          | 10.5      | 9.6    | 9.0    | 10%             | 2.4    | 11%    | 1.8%   |        |
| 4543 Terumo       | 23,691            | Mar    | JP  | 21%               | 7%  | 14%  | 19.4   | 19.8   | 17.9   | 16%          | 10.9      | 10.4   | 9.7    | 12%             | 2.2    | 12%    | 1.4%   |        |
| 4901 Fujifilm     | 24,772            | Mar    | JP  | 2%                | 2%  | -14% | 13.3   | 11.5   | 10.0   | 13%          | 8.4       | 7.5    | 6.7    | 11%             | 1.0    | 8%     | 2.3%   |        |
| 7733 Olympus      | 14,478            | Mar    | JP  | 40%               | 16% | 18%  | 25.4   | 21.5   | 19.7   | 21%          | 11.9      | 10.3   | 9.8    | 15%             | 2.7    | 11%    | 1.4%   |        |
| 6869 Sysmex       | 7,385             | Mar    | JP  | 31%               | 37% | 20%  | 29.9   | 23.8   | 21.8   | 16%          | 10.1      | 9.1    | 8.7    | 6%              | 2.3    | 8%     | 2.0%   |        |
| 7701 Shimadzu     | 7,430             | Mar    | JP  | -6%               | 8%  | -4%  | 19.5   | 17.3   | 16.2   | 7%           | 10.1      | 9.0    | 8.5    | 12%             | 2.0    | 10%    | 1.7%   |        |
| 7747 Asahi Intecc | 6,427             | Jun    | JP  | 15%               | 5%  | 9%   | 28.2   | 25.1   | 23.2   | 12%          | 15.7      | 14.1   | 13.2   | 11%             | 5.3    | 20%    | 1.2%   |        |
| 6523 PHC HD       | 1,218             | Mar    | JP  | 39%               | 43% | 38%  | 10.1   | 10.5   | 10.1   | 240%         | 6.2       | 6.5    | 6.5    | 3%              | 1.1    | 11%    | 2.7%   |        |
| 7780 Menicon      | 875               | Mar    | JP  | -2%               | 13% | 6%   | 19.4   | 15.2   | 12.7   | 23%          | 7.2       | 6.4    | 5.7    | 12%             | 1.3    | 7%     | 1.5%   |        |
| 7716 Nakanishi    | 1,654             | Dec    | JP  | 16%               | 0%  | -1%  | 15.1   | 13.5   | 12.6   | 13%          | 8.4       | 7.6    | 7.2    | 10%             | 2.1    | 14%    | 3.5%   |        |

Source: Bloomberg, BofA Global Research. \*FY24-27 means FY3/25-FY3/28 for fiscal year March-ending companies.

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# Bio CDMO: Near-term earnings risk priced in

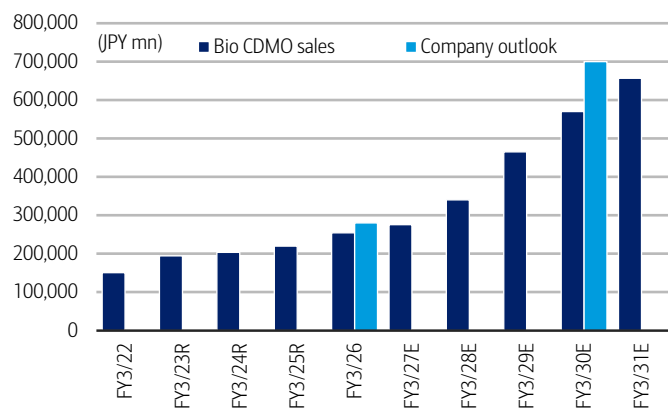
At the 1Q results, the company widened its FY3/27 operating loss guidance for Bio CDMO from ¥40.0bn to ¥70.0bn, reflecting three factors: (1) low utilization of its large-scale US tanks due to delays in establishing the production setup, with an impact of approximately ¥12.0–13.0bn; (2) weak orders for small- and mid-scale facilities, with an impact of approximately ¥10.0bn; and (3) an unplanned shutdown of its small- and mid-scale US tanks following an unannounced FDA inspection, with an impact of approximately ¥7.0–8.0bn.

Regarding (3), the final classification following the Form 483 issuance, which summarizes observations identified during an inspection, appears to have been VAI (Voluntary Action Indicated). Given that the issuance of a Form 483 is not uncommon and that competitors have received multiple Form 483s in the past, we believe it is reasonable to assume no further earnings impact. In line with the company's assumption at the 1Q results, we expect operations to resume in September.

By contrast, (1) and (2) reflect issues with the company's commercial and execution capabilities and do not warrant optimism. We maintain our cautious view on the medium- to long-term fundamentals of the company's Bio CDMO business. We expect the company to fall short of the FY3/31 targets presented at its February briefing of ¥700.0bn in revenue and an EBITDA margin of around 35%, versus our forecasts of ¥656.7bn and 19%, respectively.

## Exhibit 8: Forecast sales of ¥656bn in FY3/31

Bio CDMO business sales

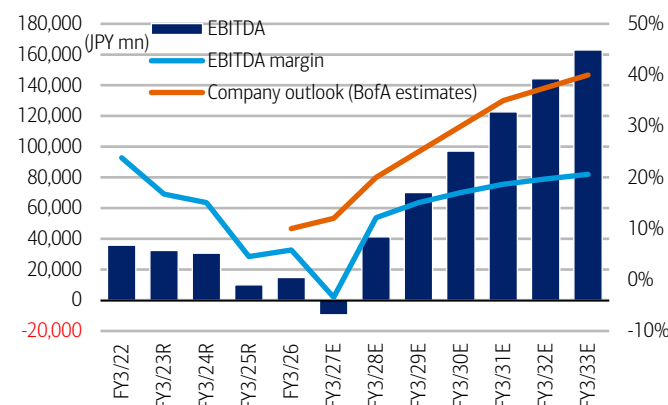


Source: Company, BofA Global Research estimates

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## Exhibit 9: Expect miss to company outlook of mid-30s EBITDA margin in FY3/31

EBITDA and EBITDA margin



Source: Company, BofA Global Research estimates

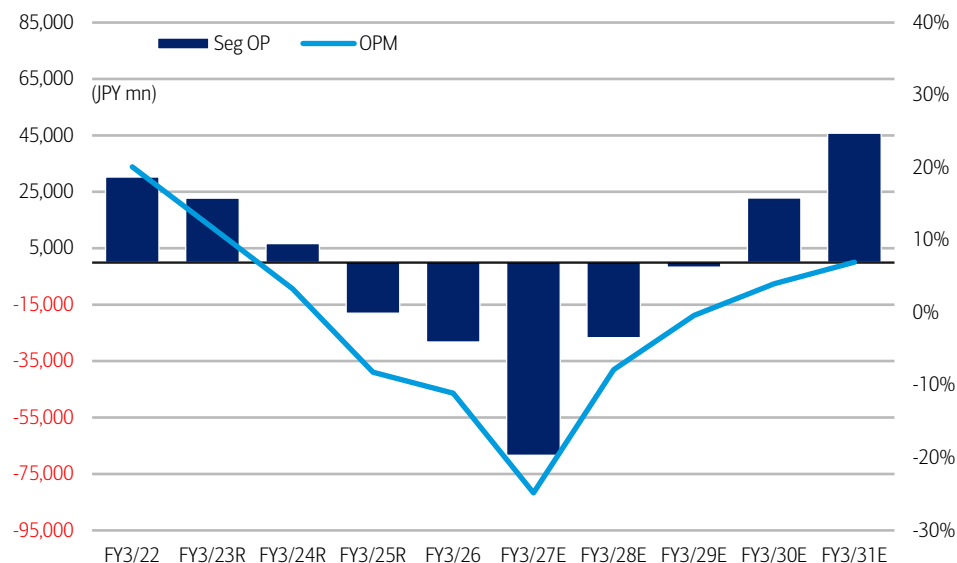
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## FY3/28: Forecasting a ¥26.7bn operating loss

However, we believe near-term earnings risk is largely priced in. We forecast operating losses of ¥68.4bn in FY3/27, broadly in line with company guidance, and ¥26.7bn in FY3/28. We believe market expectations are for a loss of around ¥20.0–30.0bn, placing our forecast within the market's expected range.

**Exhibit 10: Expect turn to operating profit in FY3/30**

Operating profit and OPM



Source: Company, BofA Global Research estimates

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**2Q update could clear the overhang**

We expect the company to provide an FY3/28 outlook at its 2Q results in November. An outlook broadly in line with our forecast would not represent a negative surprise. Rather, the improved visibility could help clear the remaining overhang. As discussed above, concerns remain over the medium- to long-term outlook. However, the near-term earnings uncertainty that has weighed on the share price should recede.

**Potential disposal of some small- and mid-scale tanks**

The company previously committed to achieving breakeven in at the operating line in Bio CDMO in FY3/28, but the deterioration in its outlook has made the target difficult to achieve through an organic recovery. As one potential measure to improve profitability, we believe the company could consider divesting some loss-making small- and mid-scale facilities or operations. Such divestments would allow the company, a relatively late entrant, to focus management resources on the more profitable large-scale business, where it has a stronger strategic fit, and would therefore be positive for the share price. Given the limited visibility on the timing and terms of any divestments, we do not factor them into our earnings forecasts.



## BI spin-off raises cost cut expectations

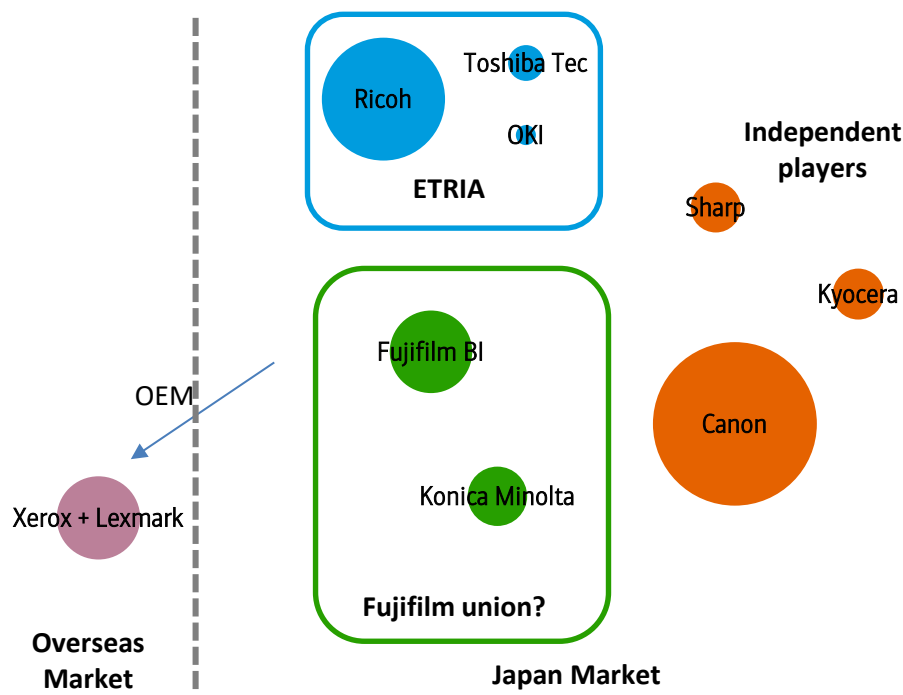
Business Innovation (BI) is a mature cash-cow business centered on office multifunction printers (MFPs) and printers along with related solutions and maintenance services. However, the shrinking market has constrained its growth and capital efficiency, and the potential spin-off of BI has long been discussed in the equity market. The spin-off should give BI greater independence and decision-making agility, enabling it to accelerate industry consolidation and restructuring initiatives aimed at reducing costs and improving margins. Meanwhile, the remaining FUJIFILM Holdings should be able to concentrate management resources on growth areas such as Healthcare and Electronics and improve the group's overall capital efficiency.

At its 1Q results, the company announced that it had begun considering a partial spin-off under which BI would be separated and subsequently listed. The envisaged structure would see FUJIFILM retain a stake of slightly less than 20% in BI, while distributing the remaining shares to existing shareholders as an in-kind dividend ahead of BI's listing. The transaction is expected to take place in two to three years. As the overall market contracts, consolidation is progressing in the MFP industry, including the integration of development and production functions at ETRIA, which was established mainly by Ricoh. FUJIFILM BI also established a joint procurement company with Konica Minolta in January 2025 and is now exploring deeper collaboration.

Given the direction of industry consolidation, we believe this collaboration could ultimately expand into comprehensive integration across development, production, sales, logistics, and corporate functions. The spin-off should facilitate these changes and accelerate the improvement in BI's profitability. Our earnings forecasts do not incorporate a spin-off itself, but reflect progress in cost reductions.

### Exhibit 11: Consolidation is advancing in Japan's MFP market

MFP industry consolidation map



Source: BofA Global Research. Circle size based on sales of printer-related segment in the latest FY.

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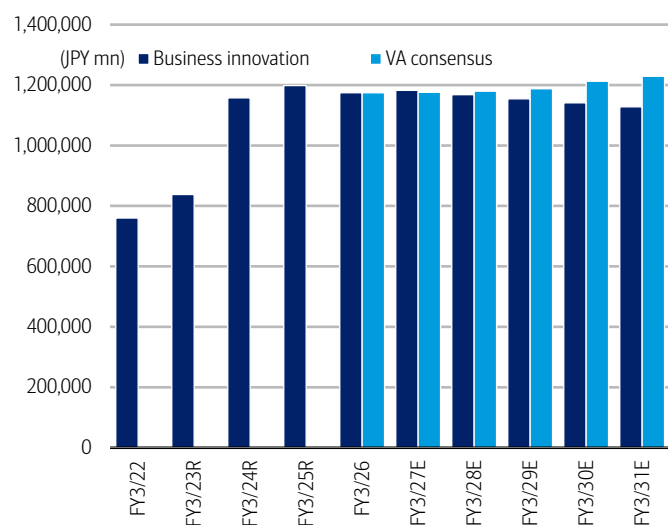
## FY3/28 operating profit to exceed consensus by 17%

The shift from paper to digital will inevitably reduce demand for MFPs and printing. We expect Business Innovation's revenue to remain on a long-term downward trend and forecast a five-year revenue CAGR of -1%, below consensus of 1%.

However, we see upside potential to our earnings forecasts. For FY3/27, we factor in a total of ¥19.5bn in restructuring expenses, comprising ¥11.5bn for Graphic Communication and ¥8.0bn for Office Solutions. The company expects cost reduction benefits of around ¥10.0bn to materialize in FY3/28, but we conservatively factor in ¥5.0bn. We forecast FY3/28 operating profit of ¥67.9bn, exceeding consensus by 17%. Although operating profit will inevitably decline as the ¥31.0bn gain from the sale of idle assets in FY3/27 drops out, cost reduction benefits of ¥5.0bn and a ¥10.0–15.0bn reduction in restructuring expenses should provide support. We expect cost reductions from deeper collaboration with Konica Minolta to continue beyond FY3/28 and forecast a five-year operating profit CAGR of 3%, above consensus of 1%.

### Exhibit 12: Structural decline in sales looks unavoidable

Business Innovation sales

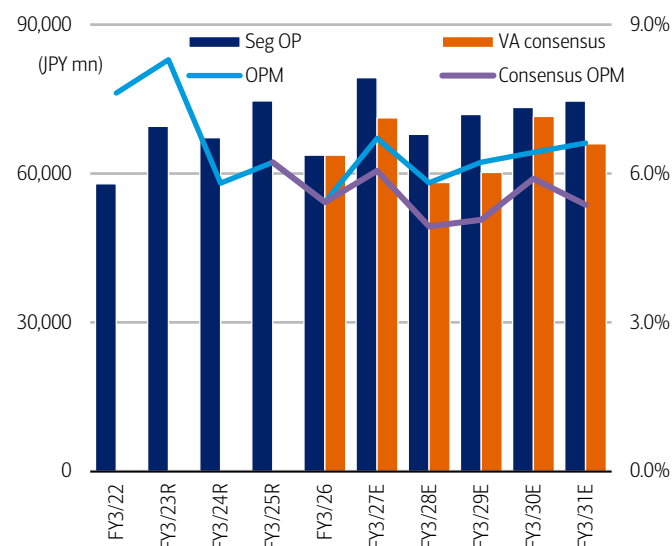


Source: Company, BofA Global Research estimates

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### Exhibit 13: We forecast sales of ¥656bn in FY3/31

Bio CDMO business sales



Source: Company, BofA Global Research estimates

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## Positive news flow on further cost cut ahead

We expect intermittent announcements of cost reduction initiatives, including improved purchasing terms through the joint procurement company, consolidation of procured items and suppliers, and concrete plans for the joint development and production of toner. Over the medium term, the companies could also consolidate development and production sites, streamline their model lineups, and integrate logistics networks and maintenance parts inventories.



## Electronics: Strong momentum drives outlook improvements

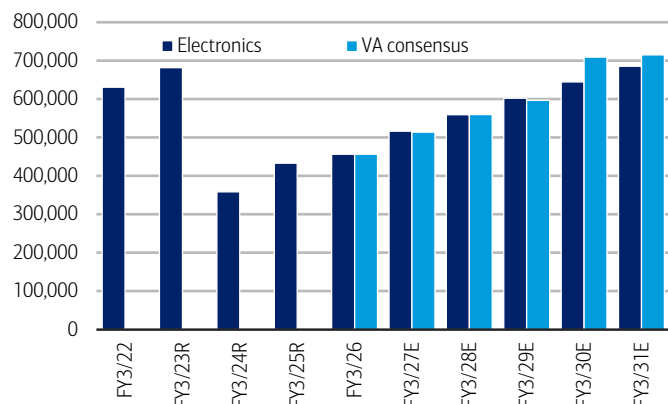
The recent strength in Electronics has been driven by structural growth in semiconductor materials and expanding demand for data tape within Advanced Functional Materials (AF Materials). In semiconductor materials, we expect demand for the company's liquid materials to grow by around 6–7% annually, supported by increasing production of advanced semiconductors, particularly for generative AI, as well as semiconductor miniaturization, increasingly complex interconnect structures and the adoption of advanced packaging. The company is currently gaining market share by leveraging its strong product positioning and stable supply capabilities, enabling it to outpace market growth.

Within AF Materials, data tape, which accounts for 20–30% of the business, is driving growth. It appears to have nearly doubled YoY in 1Q. Adoption of data tape is increasing as a cybersecurity measure because it can store cold data physically isolated from networks. With Fujifilm and Sony now the only two remaining suppliers, Fujifilm is benefiting from industry consolidation.

We raise our forecasts following the strong 1Q results. However, we expect the company to fall short of its FY3/31 semiconductor materials revenue target of ¥500.0bn, versus our forecast of ¥473.5bn. For Electronics overall, our forecast five-year operating profit CAGR of 13% is in line with consensus, and we do not currently assume meaningful upside. However, further forecast upgrades remain possible if the recent strength continues.

**Exhibit 14: Expect miss to company objective of ¥500bn in FY3/31**

Electronics sales

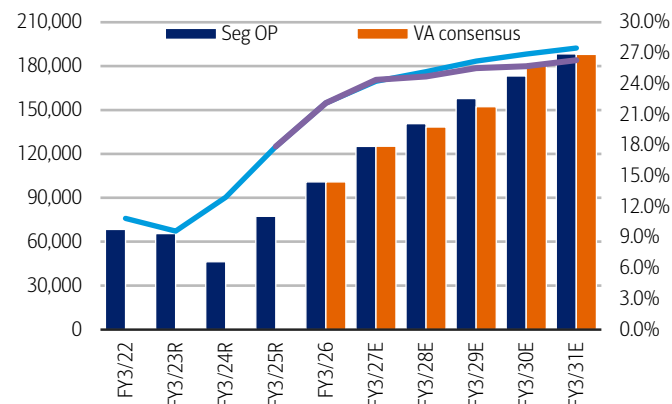


Source: Company, BofA Global Research estimates

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**Exhibit 15: Expect 5-year OP CAGR of 13% in line with consensus**

Electronics OP/OPM



Source: Company, BofA Global Research estimates

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# Appendix: earnings estimates

## Exhibit 16: Despite one-offs, we expect 6% OP growth in FY3/27

### Income Statement

| JPY in millions                 | USGAAP           | USGAAP           | USGAAP         | USGAAP         | USGAAP         | USGAAP           | USGAAP           | USGAAP           | USGAAP           | USGAAP           | USGAAP           | USGAAP           | USGAAP           |
|---------------------------------|------------------|------------------|----------------|----------------|----------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Fiscal year end                 | FY3/25           | FY3/26           | 1Q             | 2Q             | 3Q             | 4Q               | 1H               | 2H               | FY3/27E          | FY3/28E          | FY3/29E          | FY3/30E          | CoE              |
| <b>Net sales</b>                | <b>3,195,828</b> | <b>3,356,969</b> | <b>826,493</b> | <b>865,277</b> | <b>905,820</b> | <b>970,490</b>   | <b>1,691,770</b> | <b>1,876,310</b> | <b>3,568,080</b> | <b>3,732,150</b> | <b>3,963,690</b> | <b>4,181,510</b> | <b>3,560,000</b> |
| CoGS                            | 1,895,749        | 1,987,457        | 503,075        | 545,695        | 531,420        | 544,690          | 1,048,770        | 1,076,110        | 2,124,880        | 2,178,250        | 2,271,990        | 2,364,710        |                  |
| <b>Gross profit</b>             | <b>1,300,079</b> | <b>1,369,512</b> | <b>323,418</b> | <b>319,582</b> | <b>374,400</b> | <b>425,800</b>   | <b>643,000</b>   | <b>800,200</b>   | <b>1,443,200</b> | <b>1,553,900</b> | <b>1,691,700</b> | <b>1,816,800</b> |                  |
| SG&A                            | 806,525          | 861,512          | 229,949        | 192,951        | 226,500        | 242,600          | 422,900          | 469,100          | 892,000          | 933,000          | 990,900          | 1,045,400        |                  |
| <b>Operating profit</b>         | <b>330,155</b>   | <b>350,210</b>   | <b>51,184</b>  | <b>84,316</b>  | <b>102,600</b> | <b>134,700</b>   | <b>135,500</b>   | <b>237,300</b>   | <b>372,800</b>   | <b>434,300</b>   | <b>502,600</b>   | <b>562,300</b>   | <b>365,000</b>   |
| Financial income/expense        | 4,628            | 6,229            | 916            | 1,084          | 1,000          | 1,000            | 2,000            | 2,000            | 4,000            | 4,600            | 5,200            | 5,800            | 10,000           |
| Other income/expense            | 5,811            | 10,190           | 0              | 1,000          | 2,000          | 1,000            | 1,000            | 3,000            | 4,000            | 4,000            | 4,000            | 4,000            |                  |
| <b>EBT (Pretax income)</b>      | <b>340,594</b>   | <b>366,629</b>   | <b>52,100</b>  | <b>86,400</b>  | <b>105,600</b> | <b>136,700</b>   | <b>138,500</b>   | <b>242,300</b>   | <b>380,800</b>   | <b>442,900</b>   | <b>511,800</b>   | <b>572,100</b>   | <b>375,000</b>   |
| Tax provision                   | 77,595           | 91,261           | 15,154         | 22,846         | 27,000         | 34,000           | 38,000           | 61,000           | 99,000           | 115,200          | 133,100          | 148,700          |                  |
| Minority shareholders income    | -728             | -562             | 152            | -452           | -200           | -100             | -300             | -300             | -600             | -600             | -600             | -600             |                  |
| <b>Net income</b>               | <b>260,951</b>   | <b>276,735</b>   | <b>37,424</b>  | <b>82,808</b>  | <b>78,800</b>  | <b>85,268</b>    | <b>120,232</b>   | <b>164,068</b>   | <b>284,300</b>   | <b>330,200</b>   | <b>381,200</b>   | <b>425,900</b>   | <b>280,000</b>   |
| <b>EBITDA</b>                   | <b>493,722</b>   | <b>522,581</b>   | <b>101,606</b> | <b>130,094</b> | <b>151,200</b> | <b>183,300</b>   | <b>231,700</b>   | <b>334,500</b>   | <b>566,200</b>   | <b>637,800</b>   | <b>711,400</b>   | <b>775,400</b>   | <b>575,000</b>   |
| <b>Margin analysis</b>          |                  |                  |                |                |                |                  |                  |                  |                  |                  |                  |                  |                  |
| Gross margin                    | 40.7%            | 40.8%            | 39.1%          | 36.9%          | 41.3%          | 43.9%            | 38.0%            | 42.6%            | 40.4%            | 41.6%            | 42.7%            | 43.4%            |                  |
| SG&A                            | 25.2%            | 25.7%            | 27.8%          | 22.3%          | 25.0%          | 25.0%            | 25.0%            | 25.0%            | 25.0%            | 25.0%            | 25.0%            | 25.0%            |                  |
| Operating margin                | 10.3%            | 10.4%            | 6.2%           | 9.7%           | 11.3%          | 13.9%            | 8.0%             | 12.6%            | 10.4%            | 11.6%            | 12.7%            | 13.4%            | 10.3%            |
| EBITDA margin                   | 15.4%            | 15.6%            | 12.3%          | 15.0%          | 16.7%          | 18.9%            | 13.7%            | 17.8%            | 15.9%            | 17.1%            | 17.9%            | 18.5%            | 16.2%            |
| Effective tax rate              | 22.8%            | 24.9%            | 29.1%          | 26.4%          | 25.6%          | 24.9%            | 27.4%            | 25.2%            | 26.0%            | 26.0%            | 26.0%            | 26.0%            |                  |
| Net margin                      | 8.2%             | 8.2%             | 4.5%           | 9.6%           | 8.7%           | 8.8%             | 7.1%             | 8.7%             | 8.0%             | 8.8%             | 9.6%             | 10.2%            | 7.9%             |
| <b>% YOY change</b>             |                  |                  |                |                |                |                  |                  |                  |                  |                  |                  |                  |                  |
| Net sales                       | 7.9%             | 5.0%             | 10.3%          | 5.2%           | 5.7%           | 4.7%             | 7.6%             | 5.1%             | 6.3%             | 4.6%             | 6.2%             | 5.5%             | 6.0%             |
| Operating profit                | 19.3%            | 6.1%             | -32.0%         | 1.3%           | 14.0%          | 32.4%            | -14.5%           | 23.8%            | 6.5%             | 16.5%            | 15.7%            | 11.9%            | 4.2%             |
| EBITDA                          | 15.7%            | 5.8%             | -12.5%         | 5.1%           | 13.9%          | 22.3%            | -3.4%            | 18.4%            | 8.3%             | 12.6%            | 11.5%            | 9.0%             | 10.0%            |
| <b>Consensus analysis</b>       |                  |                  |                |                |                |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Consensus Sales</b>          | <b>3,356,969</b> |                  | <b>862,473</b> | <b>903,839</b> | <b>968,290</b> | <b>1,688,967</b> | <b>1,872,128</b> | <b>3,544,474</b> | <b>3,723,651</b> | <b>3,905,190</b> | <b>4,300,784</b> |                  |                  |
| BofA estimate                   | 3,356,969        |                  | 865,277        | 905,820        | 970,490        | 1,691,770        | 1,876,310        | 3,568,080        | 3,732,150        | 3,963,690        | 4,181,510        |                  |                  |
| Gap                             | 0%               |                  | 0%             | 0%             | 0%             | 0%               | 0%               | 1%               | 0%               | 1%               | -3%              |                  |                  |
| <b>Consensus OP</b>             | <b>350,210</b>   |                  | <b>75,091</b>  | <b>103,874</b> | <b>138,626</b> | <b>0</b>         | <b>0</b>         | <b>368,815</b>   | <b>417,759</b>   | <b>482,776</b>   | <b>568,838</b>   |                  |                  |
| BofA estimate                   | 350,210          |                  | 84,316         | 102,600        | 134,700        | 135,500          | 237,300          | 372,800          | 434,300          | 502,600          | 562,300          |                  |                  |
| Gap                             | 0%               |                  | 12%            | -1%            | -3%            | #DIV/0!          | #DIV/0!          | 1%               | 4%               | 4%               | -1%              |                  |                  |
| <b>Per share data</b>           |                  |                  |                |                |                |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>EPS (diluted)</b>            | <b>216.6</b>     | <b>229.7</b>     |                |                |                |                  |                  |                  | <b>236.0</b>     | <b>274.1</b>     | <b>316.4</b>     | <b>353.5</b>     | <b>234.2</b>     |
| CFPS                            | 355.4            | 340.8            |                |                |                |                  |                  |                  | 422.9            | 487.9            | 524.1            | 571.2            |                  |
| BPS                             | 2,778.1          | 3,185.5          |                |                |                |                  |                  |                  | 3,351.4          | 3,551.4          | 3,773.1          | 4,017.0          |                  |
| DPS                             | 65.0             | 70.0             |                |                |                |                  |                  |                  | 75.0             | 96.0             | 111.0            | 124.0            | 75.0             |
| Shares outstanding (average)    | 1,231.5          | 1,204.7          |                |                |                |                  |                  |                  | 1,197.0          | 1,197.0          | 1,197.0          | 1,197.0          | 1,195.6          |
| Shares outstanding (FY end)     | 1,204.8          | 1,205.3          |                |                |                |                  |                  |                  | 1,195.6          | 1,195.6          | 1,195.6          | 1,195.6          |                  |
| ROE                             | 8.0%             | 7.7%             |                |                |                |                  |                  |                  | 7.2%             | 7.9%             | 8.6%             | 9.1%             |                  |
| Net income/Net sales            | 8.2%             | 8.2%             |                |                |                |                  |                  |                  | 8.0%             | 8.8%             | 9.6%             | 10.2%            |                  |
| Net sales/Total asset           | 1.64             | 1.80             |                |                |                |                  |                  |                  | 1.80             | 1.80             | 1.75             | 1.72             |                  |
| Total asset/Shareholders equity | 0.57             | 0.57             |                |                |                |                  |                  |                  | 0.59             | 0.57             | 0.52             | 0.49             |                  |
| FX rate                         |                  |                  |                |                |                |                  |                  |                  |                  |                  |                  |                  |                  |
| JPY/USD                         | 152.4            | 151.0            | 159.0          | 155.0          | 155.0          | 155.0            | 157.0            | 155.0            | 156.0            | 155.0            | 155.0            | 155.0            | 156.0            |
| JPY/EUR                         | 163.9            | 175.0            | 185.0          | 180.0          | 180.0          | 180.0            | 182.5            | 180.0            | 181.3            | 180.0            | 180.0            | 180.0            | 181.0            |

Source: Company. Estimates by BofA Global Research.

BofA GLOBAL RESEARCH



**Exhibit 17: We anticipate positive FCF in near future despite aggressive growth investment in Healthcare segment**

## Cash Flow Statement &amp; Balance Sheet

| JPY in millions                                      | USGAAP           | USGAAP           | USGAAP           | USGAAP | USGAAP | USGAAP | USGAAP | USGAAP | USGAAP           | USGAAP           | USGAAP           | USGAAP           |
|------------------------------------------------------|------------------|------------------|------------------|--------|--------|--------|--------|--------|------------------|------------------|------------------|------------------|
| Fiscal year end                                      | FY3/25           | FY3/26           | 1Q               | 2Q     | 3Q     | 4Q     | 1H     | 2H     | FY3/27E          | FY3/28E          | FY3/29E          | FY3/30E          |
| <b>Operating cash flow</b>                           | <b>428,162</b>   | <b>410,555</b>   | <b>92,293</b>    |        |        |        |        |        | <b>509,526</b>   | <b>587,726</b>   | <b>631,426</b>   | <b>688,126</b>   |
| Net income after extraordinary                       | 260,951          | 276,735          | 37,424           |        |        |        |        |        | 284,300          | 330,200          | 381,200          | 425,900          |
| Depreciation, impairment loss, goodwill amortization | 163,567          | 172,371          | 50,422           | 45,778 | 48,600 | 48,600 | 96,200 | 97,200 | 193,400          | 203,500          | 208,800          | 213,100          |
| Total depreciation                                   | 163,567          | 172,371          | 50,422           | 45,778 | 48,600 | 48,600 | 96,200 | 97,200 | 193,400          | 203,500          | 208,800          | 213,100          |
| GW amortization                                      | 0                | 0                | 0                |        |        |        |        |        | 0                | 0                | 0                | 0                |
| Impairment                                           | 0                | 0                | 0                |        |        |        |        |        | 0                | 0                | 0                | 0                |
| Inc/(dec). in working capital                        | 12,596           | -47,677          | 23,938           |        |        |        |        |        | 22,700           | 44,900           | 32,300           | 40,000           |
| Other operating cash flow                            | -8,952           | 9,126            | -19,491          |        |        |        |        |        | 9,126            | 9,126            | 9,126            | 9,126            |
| <b>Investing cash flow</b>                           | <b>-541,953</b>  | <b>-554,604</b>  | <b>-124,901</b>  |        |        |        |        |        | <b>-535,525</b>  | <b>-441,925</b>  | <b>-419,725</b>  | <b>-429,325</b>  |
| Capital expenditure                                  | -561,878         | -576,679         | -117,559         |        |        |        |        |        | -557,600         | -464,000         | -441,800         | -451,400         |
| PP&E                                                 | -502,794         | -521,583         | -107,794         |        |        |        |        |        | -502,500         | -408,900         | -386,700         | -396,300         |
| Intangible assets                                    | -55,211          | -48,983          | -9,765           |        |        |        |        |        | -49,000          | -49,000          | -49,000          | -49,000          |
| Other capex                                          | -3,873           | -6,113           | 0                |        |        |        |        |        | -6,100           | -6,100           | -6,100           | -6,100           |
| Other investing cash flow                            | 19,925           | 22,075           | -7,342           |        |        |        |        |        | 22,075           | 22,075           | 22,075           | 22,075           |
| <b>Financing cash flow</b>                           | <b>108,883</b>   | <b>120,249</b>   | <b>6,302</b>     |        |        |        |        |        | <b>-14,400</b>   | <b>-89,100</b>   | <b>-220,000</b>  | <b>-222,000</b>  |
| Net share issue/repurchase                           | -16              | -12              | -30,002          |        |        |        |        |        | -30,000          | 0                | 0                | 0                |
| Dividends paid                                       | -68,252          | -84,354          | -42,187          |        |        |        |        |        | -84,400          | -89,100          | -114,000         | -131,900         |
| Change in interest-bearing debt                      | -168,945         | 34,722           | 78,495           |        |        |        |        |        | 100,000          | 0                | -106,000         | -90,100          |
| Other financing cash flow                            | 346,096          | 169,893          | -4               |        |        |        |        |        | 0                | 0                | 0                | 0                |
| Adjustment                                           | -2,696           | 22,242           | 32,710           |        |        |        |        |        | 22,242           | 22,242           | 22,242           | 22,242           |
| <b>Total cash flow</b>                               | <b>-7,604</b>    | <b>-1,558</b>    | <b>6,404</b>     |        |        |        |        |        | <b>-18,157</b>   | <b>78,943</b>    | <b>13,943</b>    | <b>59,043</b>    |
| Free cash flow                                       | -133,716         | -166,124         | -25,266          |        |        |        |        |        | -48,074          | 123,726          | 189,626          | 236,726          |
|                                                      |                  |                  |                  |        |        |        |        |        |                  |                  |                  |                  |
| Fiscal year end                                      | FY3/25           | FY3/26           | 1Q               |        |        |        |        |        | FY3/27E          | FY3/28E          | FY3/29E          | FY3/30E          |
| <b>Total asset</b>                                   | <b>5,249,908</b> | <b>6,053,776</b> | <b>6,167,301</b> |        |        |        |        |        | <b>6,420,200</b> | <b>6,713,200</b> | <b>6,937,000</b> | <b>7,205,700</b> |
| Current asset                                        | 1,581,681        | 1,719,033        | 1,719,777        |        |        |        |        |        | 1,723,200        | 1,786,900        | 1,808,100        | 1,868,300        |
| Cash & Equiv, Marketable securities                  | 172,111          | 170,553          | 150,651          |        |        |        |        |        | 152,400          | 231,300          | 245,200          | 304,200          |
| Account receivable                                   | 699,986          | 762,515          | 706,477          |        |        |        |        |        | 769,900          | 765,000          | 771,800          | 773,500          |
| Other current asset, net                             | 165,608          | 185,169          | 195,584          |        |        |        |        |        | 190,700          | 196,400          | 202,300          | 208,400          |
| Fixed asset                                          | 3,668,227        | 4,334,743        | 4,447,524        |        |        |        |        |        | 4,697,000        | 4,926,300        | 5,128,900        | 5,337,400        |
| PP&E                                                 | 1,786,475        | 2,308,308        | 2,396,883        |        |        |        |        |        | 2,642,300        | 2,873,900        | 3,078,700        | 3,289,400        |
| Intangible asset                                     | 1,105,471        | 1,148,243        | 1,155,312        |        |        |        |        |        | 1,172,300        | 1,195,100        | 1,217,200        | 1,238,700        |
| Other fixed asset, net                               | 776,281          | 878,192          | 895,329          |        |        |        |        |        | 882,400          | 857,300          | 833,000          | 809,300          |
| <b>Total liability</b>                               | <b>1,897,226</b> | <b>2,209,391</b> | <b>2,263,752</b> |        |        |        |        |        | <b>2,376,500</b> | <b>2,429,000</b> | <b>2,386,200</b> | <b>2,361,500</b> |
| Current liability                                    | 1,125,940        | 1,258,272        | 1,257,423        |        |        |        |        |        | 1,315,100        | 1,357,000        | 1,409,200        | 1,463,300        |
| Account payable                                      | 390,577          | 389,849          | 398,479          |        |        |        |        |        | 429,300          | 453,300          | 487,000          | 522,100          |
| Short term debt                                      | 215,103          | 287,913          | 307,269          |        |        |        |        |        | 287,900          | 287,900          | 287,900          | 287,900          |
| Other current liability, net                         | 520,260          | 580,510          | 551,675          |        |        |        |        |        | 597,900          | 615,800          | 634,300          | 653,300          |
| Fixed liability                                      | 771,286          | 951,119          | 1,006,329        |        |        |        |        |        | 1,061,400        | 1,072,000        | 977,000          | 898,200          |
| Long term debt                                       | 470,805          | 607,034          | 668,333          |        |        |        |        |        | 707,000          | 707,000          | 601,000          | 510,900          |
| Other fixed liability, net                           | 300,481          | 344,085          | 337,996          |        |        |        |        |        | 354,400          | 365,000          | 376,000          | 387,300          |
| <b>Net asset</b>                                     | <b>3,352,682</b> | <b>3,844,385</b> | <b>3,903,549</b> |        |        |        |        |        | <b>4,043,700</b> | <b>4,284,200</b> | <b>4,550,800</b> | <b>4,844,200</b> |
| Net debt                                             | 513,797          | 724,394          | 824,951          |        |        |        |        |        | 842,500          | 763,600          | 643,700          | 494,600          |

Source: Company. Estimates by BofA Global Research.

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**Exhibit 18: Healthcare segment should drive the company's revenue growth**

## Business segment analysis

| JPY in millions            | USGAAP    | USGAAP    | USGAAP  | USGAAP  | USGAAP  | USGAAP  | USGAAP  | USGAAP  | USGAAP    | USGAAP    | USGAAP    | USGAAP    | USGAAP    |
|----------------------------|-----------|-----------|---------|---------|---------|---------|---------|---------|-----------|-----------|-----------|-----------|-----------|
| Fiscal year end            | FY3/25    | FY3/26    | 1Q      | 2Q      | 3Q      | 4Q      | 1H      | 2H      | FY3/27E   | FY3/28E   | FY3/29E   | FY3/30E   | CoE       |
| Healthcare                 | 1,022,564 | 1,098,925 | 256,824 | 287,546 | 288,720 | 352,490 | 544,370 | 641,210 | 1,185,580 | 1,292,450 | 1,469,190 | 1,631,010 | 1,180,000 |
| YoY                        | 5%        | 7%        | 12%     | 6%      | 8%      | 6%      | 9%      | 7%      | 8%        | 9%        | 14%       | 11%       | 7%        |
| Medical systems            | 693,200   | 701,600   | 162,400 | 183,570 | 176,820 | 233,490 | 345,970 | 410,310 | 756,280   | 793,850   | 840,490   | 891,910   | 750,000   |
| YoY                        | 5%        | 1%        | 13%     | 8%      | 4%      | 8%      | 10%     | 6%      | 8%        | 5%        | 6%        | 6%        | 7%        |
| Medical consumables        | 69,320    | 49,110    | 11,370  | 10,360  | 13,220  | 13,250  | 21,730  | 26,470  | 48,200    | 45,500    | 43,230    | 41,070    |           |
| Medical equipment          | 145,570   | 147,340   | 29,230  | 42,210  | 33,200  | 50,620  | 71,440  | 83,820  | 155,260   | 160,250   | 166,470   | 172,930   |           |
| Network system for medical | 97,050    | 105,240   | 21,110  | 27,460  | 22,940  | 40,480  | 48,570  | 63,420  | 111,990   | 122,400   | 134,640   | 148,100   |           |
| Endoscope                  | 124,780   | 140,320   | 38,980  | 39,840  | 42,210  | 45,680  | 78,820  | 87,890  | 166,710   | 185,520   | 207,780   | 232,710   |           |
| Ultrasound product         | 103,980   | 105,240   | 24,360  | 26,170  | 25,950  | 33,330  | 50,530  | 59,280  | 109,810   | 112,070   | 115,120   | 118,250   |           |
| IVD                        | 69,320    | 70,160    | 16,240  | 17,470  | 19,030  | 17,570  | 33,710  | 36,600  | 70,310    | 68,460    | 67,090    | 65,750    |           |
| CT-MRI                     | 69,320    | 70,160    | 12,990  | 16,110  | 14,800  | 25,680  | 29,100  | 40,480  | 69,580    | 73,280    | 77,680    | 82,340    |           |
| Bio CDMO                   | 219,500   | 254,100   | 57,700  | 67,900  | 74,900  | 75,000  | 125,600 | 149,900 | 275,500   | 340,100   | 465,100   | 569,900   | 280,000   |
| YoY                        | 8%        | 16%       | 8%      | 2%      | 23%     | 2%      | 5%      | 11%     | 8%        | 23%       | 37%       | 23%       | 10%       |
| LS solutions               | 109,800   | 143,200   | 36,700  | 36,100  | 37,000  | 44,000  | 72,800  | 81,000  | 153,800   | 158,500   | 163,600   | 169,200   | 150,000   |
| YoY                        | -2%       | 30%       | 17%     | 6%      | 5%      | 3%      | 11%     | 4%      | 7%        | 3%        | 3%        | 3%        | 5%        |
| Segment OP                 | 77,635    | 63,637    | -12,677 | 8,277   | 9,900   | 35,200  | -4,400  | 45,100  | 40,700    | 91,800    | 134,200   | 171,600   | 41,000    |
| YoY                        | -20%      | -18%      | -396%   | -57%    | -4%     | 19%     | -119%   | 13%     | -36%      | 126%      | 46%       | 28%       | -36%      |
| OPM                        | 7.6%      | 5.8%      | -4.9%   | 2.9%    | 3.4%    | 10.0%   | -0.8%   | 7.0%    | 3.4%      | 7.1%      | 9.1%      | 10.5%     | 3.5%      |
| Electronics                | 432,797   | 456,157   | 127,650 | 119,150 | 130,600 | 138,800 | 246,800 | 269,400 | 516,200   | 559,100   | 602,100   | 644,500   | 510,000   |
| YoY                        | 21%       | 5%        | 25%     | 11%     | 10%     | 9%      | 18%     | 9%      | 13%       | 8%        | 8%        | 7%        | 12%       |
| Graphic comm., Inkjet      |           |           |         |         |         |         |         |         |           |           |           |           |           |
| Electronic materials       | 250,400   | 294,600   | 84,900  | 80,200  | 86,600  | 90,000  | 165,100 | 176,600 | 341,700   | 375,900   | 409,700   | 442,500   | 335,000   |
| AF materials               | 182,400   | 161,600   | 42,800  | 38,900  | 44,000  | 48,800  | 81,700  | 92,800  | 174,500   | 183,200   | 192,400   | 202,000   | 175,000   |
| Display materials          |           |           |         |         |         |         |         |         |           |           |           |           |           |
| Others, net                |           |           |         |         |         |         |         |         |           |           |           |           |           |
| Segment OP                 | 77,315    | 100,883   | 31,128  | 25,572  | 32,600  | 35,800  | 56,700  | 68,400  | 125,100   | 140,700   | 157,800   | 173,300   | 120,000   |
| YoY                        | 67%       | 30%       | n.a.    | n.a.    | n.a.    | n.a.    | n.a.    | n.a.    | 24%       | 12%       | 12%       | 10%       | 19%       |
| OPM                        | 17.9%     | 22.1%     | 24.4%   | 21.5%   | 25.0%   | 25.8%   | 23.0%   | 25.4%   | 24.2%     | 25.2%     | 26.2%     | 26.9%     | 23.5%     |
| Business innovation        | 1,198,494 | 1,174,800 | 273,243 | 302,957 | 278,200 | 327,900 | 576,200 | 606,100 | 1,182,300 | 1,168,300 | 1,154,600 | 1,141,100 | 1,200,000 |
| YoY                        | 4%        | -2%       | 0%      | 1%      | 0%      | 1%      | 1%      | 1%      | 1%        | -1%       | -1%       | -1%       | 2%        |
| Office solution            | 522,900   | 482,700   | 114,500 | 123,100 | 114,000 | 126,300 | 237,600 | 240,300 | 477,900   | 470,700   | 463,600   | 456,600   | 480,000   |
| Business solution          | 330,900   | 356,800   | 77,800  | 94,500  | 82,800  | 110,600 | 172,300 | 193,400 | 365,700   | 365,700   | 365,700   | 365,700   | 390,000   |
| Graphic comm., Inkjet      | 344,700   | 335,300   | 81,000  | 85,300  | 81,400  | 91,000  | 166,300 | 172,400 | 338,700   | 331,900   | 325,300   | 318,800   | 330,000   |
| Segment OP                 | 74,614    | 63,712    | -1,445  | 19,845  | 12,000  | 48,900  | 18,400  | 60,900  | 79,300    | 67,900    | 71,900    | 73,300    | 80,000    |
| YoY                        | 11%       | -15%      | n.a.    | n.a.    | n.a.    | n.a.    | n.a.    | n.a.    | 24%       | -14%      | 6%        | 2%        | 26%       |
| OPM                        | 6.2%      | 5.4%      | -0.5%   | 6.6%    | 4.3%    | 14.9%   | 3.2%    | 10.0%   | 6.7%      | 5.8%      | 6.2%      | 6.4%      | 6.7%      |
| Imaging                    | 541,973   | 627,087   | 168,776 | 155,624 | 208,300 | 151,300 | 324,400 | 359,600 | 684,000   | 712,300   | 737,800   | 764,900   | 670,000   |
| YoY                        | 15%       | 16%       | 16%     | 6%      | 7%      | 7%      | 11%     | 7%      | 9%        | 4%        | 4%        | 4%        | 7%        |
| Consumer imaging           | 328,000   | 367,900   | 96,700  | 85,300  | 134,000 | 89,500  | 188,800 | 223,500 | 412,300   | 425,700   | 439,900   | 455,000   | 390,000   |
| Professional imaging       | 214,000   | 259,200   | 72,100  | 60,900  | 74,300  | 61,800  | 135,600 | 136,100 | 271,700   | 286,600   | 297,900   | 309,900   | 280,000   |
| Segment OP                 | 139,214   | 160,003   | 43,393  | 40,007  | 58,100  | 25,400  | 83,400  | 83,500  | 166,900   | 175,000   | 182,300   | 190,100   | 162,000   |
| YoY                        | 37%       | 15%       | 4%      | 4%      | 5%      | 4%      | 4%      | 5%      | 4%        | 5%        | 4%        | 4%        | 1%        |
| OPM                        | 25.7%     | 25.5%     | 25.7%   | 25.7%   | 27.9%   | 16.8%   | 25.7%   | 23.2%   | 24.4%     | 24.6%     | 24.7%     | 24.9%     | 24.2%     |
| Corporate and eliminations | -38,623   | -38,025   | -9,215  | -9,385  | -10,000 | -10,600 | -18,600 | -20,600 | -39,200   | -41,100   | -43,600   | -46,000   | -38,000   |

Source: Company. Estimates by BofA Global Research.

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## Price objective basis & risk

### Fujifilm Holdings (4901 / FUJIF / FUJIY)

We calculate our price objective of ¥4,000 (ADR \$12.9) based on SOTP on our FY3/28 estimates, as Fujifilm operating multiple businesses with differing growth cycles and risks. We also cross-checked our PO using DCF and EV/EBITDA. Upside risks for our PO are (1) greater-than-expected unit price growth and margin improvement in the bio CDMO business, (2) positive market view of additional investment in the bio CDMO business, and (3) market share growth and margin improvement in the medical systems business. Downside risks are sluggish promotion and marketing outcome for overseas healthcare businesses, and slower than expected cash generation timing for bio CDMO business.

## Analyst Certification

I, Kei Takeuchi, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

### APR - Healthcare Coverage Cluster

| Investment rating | Company                          | BofA Ticker | Bloomberg symbol | Analyst               |
|-------------------|----------------------------------|-------------|------------------|-----------------------|
| <b>BUY</b>        |                                  |             |                  |                       |
|                   | 3SBio                            | TRSBF       | 1530 HK          | David Li              |
|                   | Adicon Holdings                  | ADCNF       | 9860 HK          | David Li              |
|                   | Aier Eye Hospital                | XAEOF       | 300015 CH        | David Li              |
|                   | Akeso                            | AKESF       | 9926 HK          | Ethan Cui             |
|                   | Alebund Pharmaceuticals          | XAPJF       | 9637 HK          | David Li              |
|                   | Angelalign Technology Inc        | AGLFF       | 6699 HK          | David Li              |
|                   | Apollo Hospital                  | XWQAF       | APHS IN          | Neha Manpuria         |
|                   | Astellas Pharma                  | ALPMF       | 4503 JP          | Koichi Mamegano       |
|                   | Astellas Pharma                  | ALPMY       | ALPMY US         | Koichi Mamegano       |
|                   | Asymchem Laboratories            | XALPF       | 002821 CH        | David Li              |
|                   | Aurobindo                        | XLZFF       | ARBP IN          | Neha Manpuria         |
|                   | Australian Clinical Labs         | XAUKF       | ACL AU           | Lyanne Harrison       |
|                   | Baiyunshan                       | GZPHF       | 874 HK           | Sandra Sun            |
|                   | Bangkok Chain Hospital           | BKKFF       | BCH TB           | Teerapol Udomvej, CFA |
|                   | Bangkok Dusit Medical Services   | BDMSE       | BDMSE TB         | Teerapol Udomvej, CFA |
|                   | Beijing Tongrentang Co., Limited | BJTGF       | 600085 CH        | David Li              |
|                   | BeOne Medicines Ltd              | BEIGF       | 6160 HK          | David Li              |
|                   | BeOne Medicines Ltd              | ONC         | ONC US           | David Li              |
|                   | Bumrungrad Hospital              | BUHHF       | BH TB            | Teerapol Udomvej, CFA |
|                   | Cansino Bio                      | CASBF       | 6185 HK          | David Li              |
|                   | Chularat Hospital Group          | XOCOF       | CHG TB           | Teerapol Udomvej, CFA |
|                   | Cochlear Limited                 | CHEOF       | COH AU           | Lyanne Harrison       |
|                   | CR Pharmaceutical                | CRPGF       | 3320 HK          | David Li              |
|                   | Daiichi Sankyo                   | DSKYF       | 4568 JP          | Koichi Mamegano       |
|                   | Daiichi Sankyo                   | DSNKY       | DSNKY US         | Koichi Mamegano       |
|                   | Divis Laboratories               | XXQPF       | DIVI IN          | Neha Manpuria         |
|                   | Dr. Reddy's                      | XDLZF       | DRRD IN          | Neha Manpuria         |
|                   | Dr. Reddy's                      | RDY         | RDY US           | Neha Manpuria         |
|                   | Fisher & Paykel Healthcare       | XPAXF       | FPH AU           | Lyanne Harrison       |
|                   | Fisher & Paykel Healthcare       | FSPKF       | FPH NZ           | Lyanne Harrison       |
|                   | Fortis Health                    | XFFTF       | FORH IN          | Neha Manpuria         |
|                   | Fujifilm Holdings                | FUJIF       | 4901 JP          | Kei Takeuchi          |
|                   | FUJIFILM Holdings                | FUJIY       | FUJIY US         | Kei Takeuchi          |
|                   | Giant Biogene                    | GBHCF       | 2367 HK          | Ethan Cui             |
|                   | Gland Pharma                     | XGLPF       | GLAND IN         | Neha Manpuria         |
|                   | Gushengtang                      | GSHTF       | 2273 HK          | David Li              |
|                   | Hansoh                           | HNSPF       | 3692 HK          | David Li              |
|                   | Hengrui Medicine                 | XMOKF       | 600276 CH        | David Li              |
|                   | Huadong Medicine                 | XCPDF       | 000963 CH        | Ethan Cui             |



## APR - Healthcare Coverage Cluster

| Investment rating | Company                               | BofA Ticker | Bloomberg symbol | Analyst               |
|-------------------|---------------------------------------|-------------|------------------|-----------------------|
|                   | Hualan Biological                     | XCBEF       | 002007 CH        | Ethan Cui             |
|                   | Hygeia Healthcare                     | HYHHF       | 6078 HK          | Ethan Cui             |
|                   | IHH Healthcare Berhad                 | IHHHF       | IHH MK           | Neha Manpuria         |
|                   | IHH Healthcare Bhd                    | XFAHF       | IHH SP           | Neha Manpuria         |
|                   | Innovent                              | IVBXF       | 1801 HK          | David Li              |
|                   | Integral Diagnostics                  | ITGDF       | IDX AU           | Lianne Harrison       |
|                   | Jinxin Fertility                      | JXFGF       | 1951 HK          | Ethan Cui             |
|                   | Jinyu Bio-Tech                        | XMTDF       | 600201 CH        | David Li              |
|                   | JMDC                                  | JMDCF       | 4483 JP          | Ritsuo Watanabe       |
|                   | Kelun-Biotech                         | XSKBF       | 6990 HK          | David Li              |
|                   | Laekna                                | LAKEF       | 2105 HK          | David Li              |
|                   | M3                                    | MTHRF       | 2413 JP          | Ritsuo Watanabe       |
|                   | Medley                                | XEQNF       | 4480 JP          | Ritsuo Watanabe       |
|                   | Menicon                               | MNNLF       | 7780 JP          | Kei Takeuchi          |
|                   | MicroPort                             | MCRPF       | 853 HK           | Sandra Sun            |
|                   | Mindray                               | XDVVF       | 300760 CH        | Sandra Sun            |
|                   | Nakanishi                             | NKNSF       | 7716 JP          | Kei Takeuchi          |
|                   | New Industries Biomedical Engineering | XSNQF       | 300832 CH        | Sandra Sun            |
|                   | Nxera Pharma                          | SOLTF       | 4565 JP          | Koichi Mamegano       |
|                   | Otsuka HD                             | OTSKF       | 4578 JP          | Koichi Mamegano       |
|                   | Otsuka HD                             | OTSKY       | OTSKY US         | Koichi Mamegano       |
|                   | Pharmaron                             | PHBBF       | 3759 HK          | David Li              |
|                   | Polynovo                              | CALZF       | PNV AU           | Lianne Harrison       |
|                   | Praram 9 Hospital                     | XPNHF       | PR9 TB           | Teerapol Udomvej, CFA |
|                   | ResMed Inc                            | RSMDF       | RMD AU           | Lianne Harrison       |
|                   | ResMed Inc.                           | RMD         | RMD US           | Lianne Harrison       |
|                   | Samsung Biologics                     | XBIIF       | 207940 KS        | Zoe (Jung-ae) Chun    |
|                   | Santen Pharm.                         | SNPHF       | 4536 JP          | Koichi Mamegano       |
|                   | Sawai Group Holdings                  | SWGHF       | 4887 JP          | Ritsuo Watanabe       |
|                   | Shanghai Pharmaceuticals              | SHPMF       | 2607 HK          | David Li              |
|                   | Shanghai United Imaging               | XCAOF       | 688271 CH        | Sandra Sun            |
|                   | Shimadzu                              | SHMZF       | 7701 JP          | Kei Takeuchi          |
|                   | Shionogi                              | SGIOF       | 4507 JP          | Koichi Mamegano       |
|                   | Shionogi                              | SGIOY       | SGIOY US         | Koichi Mamegano       |
|                   | Sigma Healthcare                      | SIGGF       | SIG AU           | Lianne Harrison       |
|                   | Sino Biopharm                         | SBMFF       | 1177 HK          | David Li              |
|                   | Sinopharm                             | SHTDF       | 1099 HK          | David Li              |
|                   | Sonic Healthcare Limited              | SKHCF       | SHL AU           | Lianne Harrison       |
|                   | Sysmex                                | SSMXF       | 6869 JP          | Kei Takeuchi          |
|                   | Takeda Pharm.                         | TKPHF       | 4502 JP          | Koichi Mamegano       |
|                   | Takeda Pharm.                         | TAK         | TAK US           | Koichi Mamegano       |
|                   | Terumo                                | TRUMF       | 4543 JP          | Kei Takeuchi          |
|                   | TigerMed                              | HTMDF       | 3347 HK          | David Li              |
|                   | Torrent Pharma                        | TOPHF       | TRP IN           | Neha Manpuria         |
|                   | Towa Pharmaceutical                   | TWAPF       | 4553 JP          | Ritsuo Watanabe       |
|                   | Wuxi Apptec                           | WUXIF       | 2359 HK          | David Li              |
|                   | Wuxi Apptec                           | XLUHF       | 603259 CH        | David Li              |
|                   | Yunnan Baiyao                         | YBAIF       | 000538 CH        | Sandra Sun            |
| <b>NEUTRAL</b>    |                                       |             |                  |                       |
|                   | Ain Holdings                          | AINPF       | 9627 JP          | Ritsuo Watanabe       |
|                   | Alkem                                 | XAMLF       | ALKEM IN         | Neha Manpuria         |
|                   | Asahi Intecc                          | AHICF       | 7747 JP          | Kei Takeuchi          |
|                   | Chugai Pharm.                         | CHGCF       | 4519 JP          | Koichi Mamegano       |
|                   | Cipla                                 | XCLAF       | CIPLA IN         | Neha Manpuria         |
|                   | CSL Limited                           | CMXHF       | CSL AU           | Lianne Harrison       |
|                   | CSL Limited                           | CSLLY       | CSLLY US         | Lianne Harrison       |
|                   | Everest Medicine                      | XMLKF       | 1952 HK          | David Li              |
|                   | Imeik                                 | ZMITF       | 300896 CH        | Ethan Cui             |
|                   | Max Healthcare                        | XMHLF       | MAXHEALT IN      | Neha Manpuria         |
|                   | Ono Pharm.                            | OPHLF       | 4528 JP          | Koichi Mamegano       |
|                   | Ramsay Health Care Limited            | RMSYF       | RHC AU           | Lianne Harrison       |
|                   | Sumitomo Pharma                       | DNPUF       | 4506 JP          | Koichi Mamegano       |
|                   | Topchoice Medical                     | XZDXF       | 600763 CH        | Ethan Cui             |
|                   | WuXi Biologics                        | WXIBF       | 2269 HK          | David Li              |
|                   | Zai Lab                               | ZLAB        | ZLAB US          | David Li              |



## APR - Healthcare Coverage Cluster

| Investment rating | Company            | BofA Ticker | Bloomberg symbol | Analyst       |
|-------------------|--------------------|-------------|------------------|---------------|
|                   | Zai Lab            | XCDZF       | 9688 HK          | David Li      |
|                   | Zydus Lifesciences | XMQLF       | ZYDUSLIF IN      | Neha Manpuria |

## UNDERPERFORM

|  |                                    |       |            |                 |
|--|------------------------------------|-------|------------|-----------------|
|  | Autobio Diagnostics Co Ltd         | XQDXF | 603658 CH  | Sandra Sun      |
|  | Baiyunshan                         | XOUFF | 600332 CH  | Sandra Sun      |
|  | Beijing Wantai Biological Pharmacy | XBHIF | 603392 CH  | David Li        |
|  | Biocon                             | XLOFF | BIOS IN    | Neha Manpuria   |
|  | CSPC Pharmaceutical                | CHJTF | 1093 HK    | Ethan Cui       |
|  | EBOS Group Limited                 | EBOSF | EBO NZ     | Lyanne Harrison |
|  | EBOS Group Limited                 | XEBOF | EBO AU     | Lyanne Harrison |
|  | Eisai                              | ESALF | 4523 JP    | Koichi Mamegano |
|  | Frontage                           | FGHQF | 1521 HK    | David Li        |
|  | Healius Limited                    | PHCRF | HLS AU     | Lyanne Harrison |
|  | Joinn Lab                          | XQTSF | 6127 HK    | David Li        |
|  | Joinn Lab                          | JOLCF | 603127 CH  | David Li        |
|  | Kyowa Kirin                        | KYKOF | 4151 JP    | Koichi Mamegano |
|  | Lupin                              | XEFSF | LPC IN     | Neha Manpuria   |
|  | Mankind Pharma                     | XDXZF | MANKIND IN | Neha Manpuria   |
|  | Medipal Holdings                   | MEPDF | 7459 JP    | Ritsuo Watanabe |
|  | Nippon Shinyaku                    | NPNKF | 4516 JP    | Koichi Mamegano |
|  | Olympus Corp.                      | OCPNF | 7733 JP    | Kei Takeuchi    |
|  | Ovctek                             | XOCKF | 300595 CH  | David Li        |
|  | Pharmaron                          | XYLGF | 300759 CH  | David Li        |
|  | PHC Holdings                       | PHCCF | 6523 JP    | Kei Takeuchi    |
|  | Pien Tze Huang                     | XUVHF | 600436 CH  | Sandra Sun      |
|  | Shanghai Pharmaceuticals           | XKCRF | 601607 CH  | David Li        |
|  | SMS                                | SMSZF | 2175 JP    | Ritsuo Watanabe |
|  | Sun Pharma                         | XPUCF | SUNP IN    | Neha Manpuria   |
|  | TigerMed                           | XHTHF | 300347 CH  | David Li        |
|  | Yifeng Pharmacy                    | XYHCF | 603939 CH  | Ethan Cui       |
|  | Zhifei                             | XCHOF | 300122 CH  | David Li        |

**IQmethod<sup>SM</sup> Measures Definitions****Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

**Numerator**

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

**Denominator**

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

**Quality of Earnings**

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

**Numerator**

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash &amp; Equivalents

EBIT

**Denominator**

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

**Valuation Toolkit**

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

**Numerator**

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

**Denominator**

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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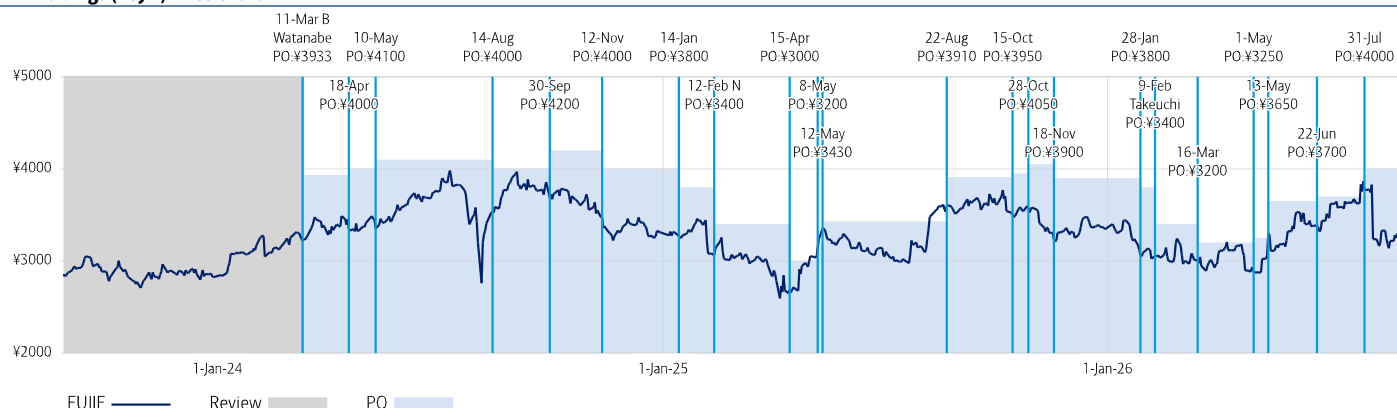
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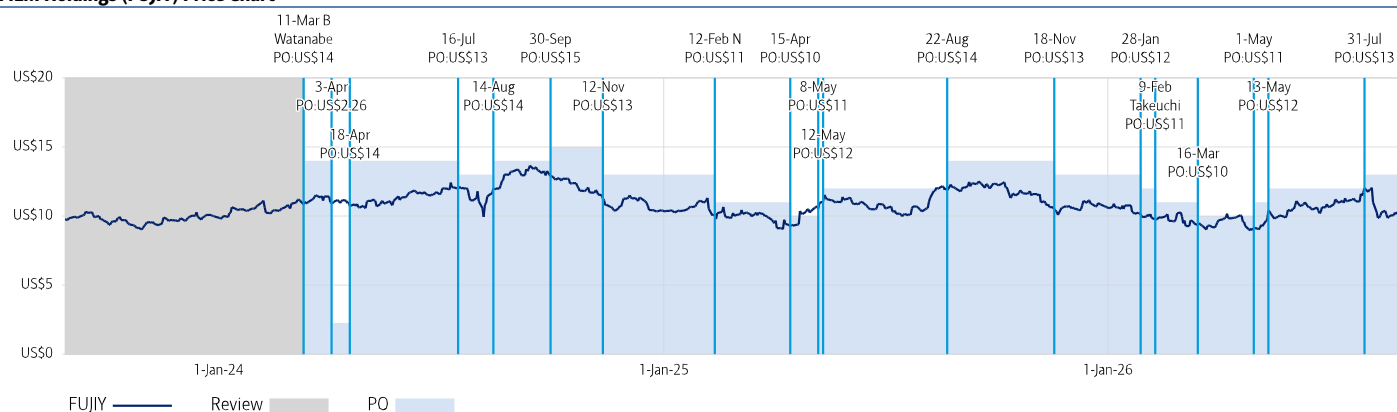
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B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

### FUJIFILM Holdings (FUJIY) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

### Equity Investment Rating Distribution: Health Care Group (as of 30 Jun 2026)

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 233   | 60.36%  | Buy                                      | 133   | 57.08%  |
| Hold              | 77    | 19.95%  | Hold                                     | 44    | 57.14%  |
| Sell              | 76    | 19.69%  | Sell                                     | 28    | 36.84%  |

### Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 1987  | 56.11%  | Buy                                      | 1190  | 59.89%  |
| Hold              | 797   | 22.51%  | Hold                                     | 496   | 62.23%  |
| Sell              | 757   | 21.38%  | Sell                                     | 391   | 51.65%  |

<sup>R1</sup> Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster <sup>R2</sup> |
|-------------------|-----------------------------------------------------------------------------|------------------------------------------------------------------|
| Buy               | ≥ 10%                                                                       | ≤ 70%                                                            |
| Neutral           | ≥ 0%                                                                        | ≤ 30%                                                            |
| Underperform      | N/A                                                                         | ≥ 20%                                                            |

<sup>R2</sup>Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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